
International Auditing and Assurance Standards Board®

[Draft] Work Plan for 2020–2021



Introduction

This **Work Plan** for the period 2020–2021 ('Work Plan') sets out our specific projects and activities that we have identified to help us deliver on our strategic objectives (and strategic actions therein) as set out in our **Strategy for 2020–2023** [link] ('Strategy'). Our Work Plan has been developed in the context of our initial thinking around our concept of a **Framework for Activities** ('Framework') focused on orderly and thoughtful selection, prioritization and scoping of forward work.

Our Work Plan sets out our best view of how we can most effectively and efficiently deliver our International Standards, and other activities, to respond to our stakeholder needs and identified challenges and issues, and is based on full utilization of our current resources and capacity. Our commitment to projects and activities as set out in the Work Plan, takes into account available resources (e.g., people, plenary time and operating budget), and the needs of different stakeholders. While recognizing calls from stakeholders for our efforts on a variety of important topics, we have determined and prioritized our planned actions to deploy our resources in a manner that reflects activities that are influenced by the identified strategic drivers in our Strategy.

The Work Plan also illustrates the shift in focus to enable more agility in our responsiveness.



Our Detailed Work Plan for 2020–2021

Our detailed Work Plan is presented below and is our best estimate, at the time of publication, for how we will progress the various projects and workstreams. This Work Plan may change given the nature of the issues, the complexities of the projects, stakeholders' feedback, and the need to be flexible in responding to environmental changes.

Broadly, our time and effort in 2020 to 2021 will focus on:

- Initially, completing projects already underway.
- Activities to support the effective implementation of the recently issued, or completed, International Standards on Auditing (ISAs) and quality management standards.
- Information gathering and research activities to inform the nature and scope of new projects and workstreams.
- Monitoring the environment and timely analysis of new and evolving issues that may affect our standards, and related activities thereafter as needed.
- Developing the Framework.
- Outreach and related activities.



This Work Plan has been developed taking into account existing staff resources and expected Board capacity.

How We Determine Our New Activities and Priorities

Our *new* projects and activities that will commence in 2020 and 2021 will be:

- ❖ Determined taking into account:
 - o Our goal, strategic drivers and strategic objectives.
 - o Whether it is in the public interest to pursue the action.
 - o The global need for action.
 - o Our capacity for new projects, including the availability of staff, Board and other resources.
 - o The nature of the project or activity.
 - o Whether a global response will be timely.
 - o If standard-setting, the ability of practitioners to be able to adopt the standard in a high-quality manner.
- ❖ Informed by the activities within the information gathering and research workstream.

In reflecting on the public interest benefits, we independently consider:

- The extent to which the action will further enhance the quality and value of audit, assurance and related services engagements globally;

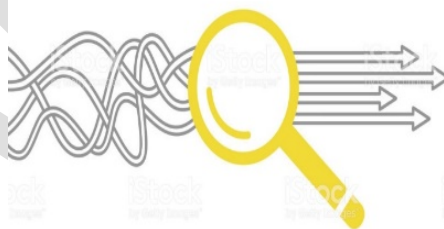
- The appropriateness of the action to contribute overall to standards that are relevant, robust and operable in accordance with the needs of our stakeholders; and
- The extent to which the action serves to facilitate enhanced public confidence in financial and other external reporting.

Pool of Possible Topics for Future Consideration

Before a topic is taken onto the Board's agenda as a project or workstream, activities will be undertaken to determine whether the topic should be progressed as part of the Board's agenda, and the scope of such work. This will be facilitated through the information gathering and research component of the Framework under development, which, when fully developed, will encompass criteria to help the Board in its decisions about its future work (the criteria will broadly cover the matters set out above).

The ability of a topic to be considered for a Board project or workstream (for example, Revising and Developing Standards; Narrow Scope Maintenance of Standards or Activities to Support Implementation of the IAASB's Standards) is dependent on the topic meeting the specified criteria (to be developed), always taking into account the balance of timely action to address topics of public interest. Information gathering and research activities will be grouped as follows:

- **Category A**—Activities to explore new topics and monitor existing known topics that fall into our remit, and may require further Board consideration. Actions for gathering information may include, for example, post-implementation reviews, scanning the environment, interacting with stakeholders and other surveys. Once a possible new topic is identified (because it meets the criteria for more active consideration) it will move to Category B for more focused action, or may be subject to another action that may be appropriate to the circumstances.
- **Category B**—More focused information gathering and research activities to understand and evidence identified issues and challenges that fall into our remit, and that are globally relevant. Once the relevant criteria have been met, such topics may move to Category C, or the Board may determine that no further action is necessary.
- **Category C**—Activities focusing on analyzing identified topics to determine recommendations for Board action (including the scoping of such work and the development of a project proposal as needed). The outcome(s) from these activities may include new projects or workstreams on our work plan. Topics within this category would likely utilize Board plenary time for discussion of matters being considered.



The activities within the information gathering and research component may be undertaken by staff, working groups or in collaboration with others (such as National Standard Setters (NSS), academics or others).

It is not intended that topics in our information gathering and research categories necessarily travel in a linear manner through each category, the relevant activity level will be dependent on how the relevant criteria for each category has been met in relation to that topic, as well as the outcomes of the information gathering activities.

We believe that this approach will allow us to be more informed and deliberate in our future actions. Part of achieving this is to ensure the timely flow-through of topics; timing will vary depending on the nature of the work being undertaken, for example Category C could be detailed scoping of a substantial standard-setting project (for example involving a number of ISAs) that could take up to 18 months, or it could be significantly quicker for a narrower scope standard-setting project.

OUR DETAILED WORK PLAN		2020				2021			
Project		March	June	Sept	Dec	March	June	Sept	Dec
I. Increasing the Emphasis on Emerging Issues to Ensure that Our International Standards Provide a Foundation for High-Quality Audit, Assurance and Related Services Engagements									
Revising and Developing Standards									
ISQM 1 ¹		X	F						
ISQM 2 ²		X	F						
ISA 220 (Revised) ³		X	F						
ISA 600 (Revised) ⁴		E		X	X	X	F		
Conforming Amendments to Other Standards Arising from Quality Management Standards				X	E		X	F	
Conforming Amendments to IAASB Standards Arising from Changes in the IESBA Code of Ethics for Professional Accountants (Including International Independence Standards)									
New Project Placeholder (Note I)									
New Project Placeholder (Note I)									
Maintenance of Standards									
New Project(s) Placeholder (Note I)									
Activities to Support Implementation—Development of Non-Authoritative Guidance and Other Activities Related to Standard-Setting									
Extended External Reporting (EER) (non-authoritative guidance)			X	X	F				
Technology (ongoing) (Note II)			X	X	X		X		X
Professional Skepticism (ongoing) (Note II)				X		X		X	
Work Plan 2022–2023						X		X	F
Handbook—changes to standards and digitization									

¹ Proposed International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control (ISQC) 1), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

² Proposed ISQM 2, *Engagement Quality Reviews*

³ Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

⁴ Proposed ISA 600 (Revised), *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

OUR DETAILED WORK PLAN Project	2020				2021			
	March	June	Sept	Dec	March	June	Sept	Dec
Activities to Support Implementation–First-time Implementation Activities (Note III)								
ISA 540 (Revised) ⁵								
ISA 315 (Revised 2019) ⁶			X					
Revised Quality Management Standards (ISQM 1, ISQM 2, ISA 220 (Revised))					X			
ISA 600 (Revised)								
Information Gathering and Research								
Matters Related to Audits of Less Complex Entities (Category C) (Note IV)	X	R	X	X	X	R		
Audit Evidence (Category D) (Note IV)	X	R	P					
Fraud (Category B/C) (Note IV)			X	X		P		
Going Concern (Category B/C) (Note IV)			X		X		P	
Other (Category B or C) (Note IV)						X	X	P
Category A Monitoring			X				X	
Auditor Reporting Post-Implementation Review (Note V)				X		X		
ISA 540 (Revised) Post-Implementation Review (Note V)							X	
II. Innovate Our Ways of Working to Strengthen and Broaden Our Agility, Capabilities and Capacity								
Developing the Framework for Activities (Note VI)	X	X	X	X				
Strengthening collaboration efforts with NSS and the International Federation of Accountants (IFAC)								
III. Maintain and Deepen Our Relationships with Our Stakeholders								
Outreach program (see Appendix 2)								
Coordination with the International Ethics Standards Board for Accountants (IESBA)			X				X	
Liaison activities with the International Accounting Standards Board (IASB)			X			X		

⁵ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

⁶ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

Key to Our Detailed Work Plan:

Appendix 1 sets out a description of the projects and workstreams included in the table above, which also categorizes the projects and workstreams by strategic action.

Cells with a(n):

- o *Green highlight indicates expected Working Group, Task Force or Staff activity. The **darker** the shade of color, the more time and activity is needed for that particular workstream.*
- o *A letter within a cell indicates plenary time as follows:*
 - ❖ *'X' indicates that IAASB plenary meeting time is scheduled for Board discussions.*
 - ❖ *'R' indicates **recommendations** for a way forward.*
 - ❖ *'P' indicates the **targeted** approval of project proposal.*
 - ❖ *'E' indicates the **targeted** approval of an Exposure Draft.*
 - ❖ *'F' indicates the **targeted** final approval by the IAASB of a new or revised standard.*

Notes:

- I = **New Project Placeholders**—These represent placeholders for new project(s) (for example, projects currently within Categories B and C of the 'information gathering and research component,' such as audit evidence, audits of less complex entities, fraud, going concern and ISA 330,⁷ or there may be a need for a project arising from the IAASB's coordination activities with the IESBA). As the nature of future workstreams is still to be determined (i.e., standard-setting / narrow scope amendments / support for the implementation of standards), each of the placeholders is indicative (at this time) about where future work will be undertaken and may therefore change. Board plenary time, and expected outputs, will also be determined once the nature of the project has been decided. The number of projects we will undertake may also vary; it may be one significant standard-setting project, or one or more smaller project(s) (which will be determined based on resources and capacity available at the time).
- II = **Ongoing initiatives**—includes activity by dedicated working groups to undertake ongoing information gathering and research activities related to a specified topic, as well as the development of guidance and other materials as needed, and inputting to our other projects as relevant.
- III = **Activities to Support Implementation**—Activities in the six to nine months following the approval of a new or revised standard to support implementation of new or revised standards (although using limited Board plenary time). These activities may include the development of guides (e.g., a 'first-time implementation guide' explaining the substantial changes made), fact sheets, flow charts, frequently asked question documents, video panel discussions or focused presentations relating to the changes.
- IV = **Information Gathering and Research Topics**—Topics in Category A within the information gathering and research component of the Framework will be monitored by a dedicated resource within the IAASB, with an annual update provided to the IAASB as to the status of the topics within Category A, as well as relevant discussions when a topic should be more actively pursued. In relation to Categories B & C, the expected time in the information gathering and research component is indicated by the green activity blocks (shaded according to expected level of activity). It is expected that those topics that have been named in Categories B & C will transfer to another component of the Framework at the time that activities related to information gathering and research ends or a project proposal is approved by the Board (subject to the outcome of the

Board's discussions, and the Board's decision(s), in relation to such topics). The outcomes of information-gathering and research activities may result in standard-setting or other projects or workstreams, such as narrow-scope maintenance of standards or the development of non-authoritative guidance, or no further action. The projection of Board plenary time beyond information gathering and research activities is not determinable at this time and has not been presented in this Work Plan. Approved project proposals will set out the expected timing of future Board work, and this Work Plan will be updated accordingly at that time.

V = **Post-Implementation Reviews**—The findings from the post-implementation reviews may result in further information gathering and research activities, or a project or other workstream activity for the IAASB depending on the findings from the review.

VI = **Development of the Framework for Activities**—will be staff-led, with oversight by a specified IAASB member. Discussions with the IAASB as the Framework is further developed will consume Board meeting plenary time in 2020.

Allocation of Resources

Our Work Plan is ambitious in 2020 and 2021, and will draw on our full capacity to deliver high-quality standards, and undertake our activities in a timely manner. The Work Plan as set out above is expected to be supported by a direct operating budget of approximately \$12.5 million over the period (excluding operational support received from IFAC).

The work that can be undertaken is also limited to the volunteer hours, consultant hours and staff capacity available to undertake activities that we have committed to. We will allocate these resources on the basis of information about new initiatives or projects that will need to be started (from the Information Gathering and Research component of the Framework) and past experience of the capacity needed to deliver our projects and initiatives.

⁷ ISA 330, *The Auditor's Responses to Assessed Risks*

Appendix 1

Description of Projects and Initiatives in the Work Plan 2020–2021

More information about our projects can be found on the project page: <http://www.iaasb.org/consultations-projects>. A direct link to the project page is included in the project title.

The last column illustrates the component within the Framework that the planned action is related to. For new and ongoing activities, these have been grouped to reflect the strategic drivers being addressed by the relevant planned action.

I. Increase the Emphasis on Emerging Issues		Framework for Activities Component
Complete Our Major Audit Quality Enhancements and Other Work Underway and Support and Facilitate Effective Implementation		
Revising and Developing Standards		
<u>ISQM 1 – Quality Management at Firm Level</u>	The purpose of the revisions to ISQC 1 ⁸ is to improve firms’ management of quality for all engagements performed under the IAASB’s International Standards. This will be achieved through the introduction of a risk-based approach to the management of quality and strengthening various aspects of the standard, including governance and leadership, resources, information and communication, monitoring and remediation and networks.	Revising and Developing Standards
<u>ISQM 2 – Engagement Quality Reviews</u>	ISQM 2 aims to strengthen and clarify various aspects of engagement quality reviews, including the engagements to be subject to such reviews, the eligibility criteria for engagement quality reviewers and the performance and documentation of the reviews.	Revising and Developing Standards
<u>ISA 220⁹ – Quality Management at Engagement Level</u>	The purpose of the revisions to ISA 220 is to strengthen aspects of quality management for individual audit engagements by focusing on quality management in a broad range of engagement circumstances.	Revising and Developing Standards

⁸ ISQC 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements and Other Assurance and Related Services Engagements*

⁹ ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

<u>ISA 600¹⁰ – Group Audits</u>	This project is being undertaken to revise ISA 600 to strengthen the auditor's approach to a group audit, and clarify the role of ISA 600 in relation to other ISAs, such as ISA 220 (Revised), ISA 315 (Revised 2019) and ISA 330.	Revising and Developing Standards
<u>Conforming Amendments Projects</u>	Projects undertaken to make conforming and consequential amendments arising from: • The revised <i>IESBA Code of Ethics for Professional Accountants (Including the Independence Standards)</i>; and • The projects to revise the IAASB's quality management standards. This project will scope in the IAASB's non-ISA standards.	Revising and Developing Standards
Activities to Support Implementation of the IAASB's Standards		
Changing Reporting Needs of Stakeholders		
<u>Extended External Reporting</u>	The purpose of this project is to develop non-authoritative guidance applicable to applying ISAE 3000 (Revised) ¹¹ to EER engagements, and provides thought leadership on assurance issues in relation to EER. This includes determining the scope of an EER assurance engagement, exercising professional skepticism and professional judgment, obtaining the competence necessary to perform the engagement, and communicating effectively in the assurance report.	Developing Non-Authoritative Guidance
Advancement in, and Use of, Technology		
<u>Technology (Ongoing)</u>	The objective of this workstream is to identify matters for which there is an opportunity for a more immediate response through developing and issuing guidance to address the effect of technology when applying certain aspects of the ISAs. The Technology Working Group also works with other task forces and working groups to input on relevant matters relating to technology on current projects.	Other Activities Related to Standard-Setting

¹⁰ ISA 220, *Quality Control for an Audit of Financial Statements*

¹¹ International Standards on Assurance Engagements (ISAE) 3000 (Revised), *Assurance Engagements Other than Audits or Reviews of Historical Financial Information*

Changing Public Confidence in Audits		
<u>Professional Skepticism (Ongoing)</u>	The objective of this workstream is to make recommendations on how to more effectively respond to issues related to professional skepticism. The Professional Skepticism Working Group also works with other task forces and working groups to input on relevant matters relating to professional skepticism on current projects.	Other Activities Related to Standard-Setting
IAASB Activities to Support the First-Time Implementation of New and Revised Standards		
ISA 540 (Revised)	Completion of activities to support awareness, understanding and effective implementation of ISA 540 (Revised).	Activities to Support Implementation of the IAASB's Standards
ISA 315 (Revised 2019)	Activities to support awareness, understanding and effective implementation of ISA 315 (Revised 2019) as needed.	Activities to Support Implementation of the IAASB's Standards
Quality Management Standards	Activities to support awareness, understanding and the effective implementation of the quality management standards as needed.	Activities to Support Implementation of the IAASB's Standards
ISA 600 (Revised)	Activities to support awareness, understanding and effective implementation of ISA 600 (Revised) as needed.	Activities to Support Implementation of the IAASB's Standards
Information Gathering and Research		
Addressing the Environment for Less Complex Entities and Developing Ways to Address Increasing Complexity		
<u>Matters Related to Audits of Less Complex Entities (Category C)</u>	In 2020 and 2021, we will use the responses from the Discussion Paper, <i>Audits of Less Complex Entities</i> , to inform us on the views of our stakeholders and to determine a way forward. Information gathering activities will continue until June 2020, at which time it is anticipated that a decision about the way forward will be made (there may also be a need for further information gathering).	Initially Information Gathering and Research Activities

Developing Ways to Address Increasing Complexity and Advancement in, and Use of, Technology		
<u>Audit Evidence</u> (Category C)	The initial objective of this workstream is to perform further information gathering and research activities to identify and prioritize audit-evidence-related issues when applying the ISAs. This information will be used to develop informed recommendations for possible further Board action to address such issues.	Initially Information Gathering and Research Activities
Changing Public Confidence in Audits and Advancement in, and Use of, Technology		
Fraud (Category B / C)	The initial objective of this workstream is to further consider the issues and challenges related to applying ISA 240, <i>The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements</i> , in light of the changing environment, jurisdictional developments and changing public expectations.	Initially Information Gathering and Research Activities
Going Concern (Category B / C)	The initial objective of this workstream is to further consider the issues and challenges related to applying ISA 570, <i>Going concern</i> , in light of the changing environment, jurisdictional developments and changing public expectations.	Initially Information Gathering and Research Activities
Addressing Some or All Strategic Drivers		
<u>Ongoing Information Gathering and Research</u> (Category A)	The objective of our research activities is to support future workstreams with activities as relevant to the topics within Category A. The strategic drivers identified and environmental developments during the strategy period will influence the topics that are taken up by the IAASB. Topics included in Category A may be sourced from consultations of the IAASB (including prior consultations), outreach and the work undertaken in developing the IAASB's strategy and work plans.	Information Gathering and Research Activities
<u>Auditor Reporting Post-Implementation Review</u>	Monitoring global developments in auditor reporting, with a focus on identifying whether there are practical implementation and other related issues that are causing the new and revised Auditor Reporting	Information Gathering and Research Activities

	Standards, ¹² and ISA 720 (Revised), ¹³ to not achieve their intended purpose. In addition, the post-implementation review will explore whether there are ways to improve the quality of the communication of key audit matters and other matters that could improve transparency about the audit that were not included in the new and revised Auditor Reporting Standards and ISA 720 (Revised).	
<u>ISA 540 (Revised) Post-Implementation Review</u>	Activities, as appropriate, to monitor the implementation of ISA 540 (Revised), with a focus on identifying whether there are practical implementation and other related issues that are causing the revised standard to not achieve its intended purpose.	Information Gathering and Research Activities
II. Innovate Our Ways of Working to Strengthen and Broaden Our Agility, Capabilities and Capacity		
Framework for Activities	Further develop and implement a Framework that will include: • Undertaking more structured and robust information gathering and research activities as a foundation for future work streams, while also providing transparency about the decisions made for the work we undertake. • Revising and developing standards, and the effective implementation thereof. • Developing mechanisms for addressing issues and challenges on a more timely basis	Strengthening and Broadening Capabilities and Capacity
Strengthening Collaboration with NSS and IFAC	Explore new ways to expand our collaboration with NSS and IFAC to optimize our activities, for example in relation to implementation support activities.	Strengthening and Broadening Capabilities and Capacity

¹² The new and revised Auditor Reporting Standards comprise ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*; New ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*; ISA 705 (Revised), *Modifications to the Opinion in the Independent Auditor's Report*; ISA 706 (Revised), *Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report*; ISA 570 (Revised), *Going Concern*; ISA 260 (Revised), *Communication with Those Charged with Governance*; and conforming amendments to other ISAs

¹³ ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*

III. Maintain and Deepen Our Relationships with Our Stakeholders ¹⁴		
Coordination with IESBA	Coordination activities with IESBA involve proactive collaboration and transparent and timely communications between staff and members of the two Boards to determine and address matters of mutual impact.	Outreach
Liaison Activities with IASB	Continue our two-way coordination with the IASB providing input on the audibility and verifiability of new and revised International Financial Reporting Standards, thereby contributing to the quality of financial reporting.	Outreach

¹⁴ Appendix 3 sets out details about the IAASB's outreach program

Appendix 2

Our Outreach Program



Annually, IAASB representatives undertake outreach with our key stakeholders, to maintain our stakeholder relationships, obtain input and monitor developments within the environment. IAASB members and Staff also undertake a considered and active engagement strategy, including personal visits and meetings, participation in conferences, discussion groups and forums, as well as webinars and other methods of communication to inform and engage on technical topics.¹⁵ In 2020 and 2021 we will also be exploring new collaboration tools to reduce barriers to engagement with all our stakeholders.

Summary of Annual Stakeholder Engagement

The following minimum stakeholder engagement will be undertaken by IAASB members, technical advisors and staff. In addition, we will focus on enhancing our outreach with certain stakeholder groups, such as investors and those charged with governance.

Stakeholder	Description of Interactions
Consultative Advisory Group (CAG)	• Bi-annual 2-day meetings with CAG Representatives • Teleconferences with CAG Representatives as necessary
Other International Standard-Setting Boards	• Annual joint session with IESBA and other collaboration activities as described in the Strategy and Work Plan • Annual IASB Update from a Representative and annual meeting with IASB leadership • Regular interactions between chairs of other standard-setting setting boards to discuss areas of joint interest
Meetings with Regulators and Oversight Bodies	• Annual or semi-annual meetings with representatives from, or presentations to regular meetings of: - o The International Forum of Independent Audit Regulators, and its Standards Coordination Working Group - o International Organization of Securities Commissions, and its Committee on Issuer Accounting, Audit and Disclosure

¹⁵ In addition to the outreach activities included in this section, we inform our stakeholders about our activities through press releases, newsletters, reports and podcasts.

Stakeholder	Description of Interactions
	- o International Association of Insurance Supervisors - o Basel Committee on Banking Supervision's Audit Subgroup • Meetings with regulators and oversight bodies on "country visits" (see below)
NSS	• Annual two-day standard setters meeting with representatives from 18 standard setters globally • Meeting with representatives from standard-setters in "country visits" (see below)
IFAC Member Bodies and Accountancy Organizations	• Meetings with representatives from member bodies on "country visits" (see below) • Presentations about our activities at member body conferences and forums • Participation in panels at member body conferences and forums
Accounting Firms	• Presentations at, and participation in, bi-annual meetings of the Forum of Firms (representing the 31 largest networks) • Meetings with firm leadership • Presentations at global and regional conferences of firms
Public Sector	• Attendance at annual International Organization of Supreme Audit Institutions Financial Audit and Accounting Subcommittee meetings
Academic Community	• Presentations about our activities at various academic related conferences
Country Visits	• Meetings with relevant stakeholders including regulators and audit oversight bodies, NSS, member bodies, investor groups and others on a rolling basis globally